

and theorists who peddle harebrained formulas or "secret"

methods for making huge and quick profits on the stock market. There has been a spate of ***How to Get Rich***

Overnight books in recent years. Seasoned financiers and investors laugh at them—or rather, they feel only pity for the gullible individuals who follow the "advice" contained in such tomes. The May 1962 Wall Street collapse pulled down many of these "blinkered" speculators, so its history should be worth examining.

In order to achieve any understanding of that collapse, it is helpful to first quickly trace the course of the market over the preceding 12 years. The easiest way to do this is by following the Dow-Jones industrial average.

At the 1950 low, the Dow-Jones industrial average stood at 161.60. It climbed to 293.79 by the end of 1952, dropped to 255.49 in mid-1953, then climbed steadily to 521.04 in 1956, from which level it drifted down to around 420 at the end of 1957.

From 420 in 1957, the Dow-Jones average rose to well over 650 in 1959, made some up-and-down zigzags and hit a late-1960 low of 566.05. From that base, it shot up to a then all-time peak of 734.91 on December 13, 1961.

As the market moved upward through 1961, some Wall Street veterans dusted off the oft-quoted pre-1929 crash saying that the stock market was discounting not only the future, but the hereafter as well.

Many years ago, the per-share price vs. per-share earnings ratio was widely—though unofficially—adopted as a reliable rule-of-thumb indicator of stock values. "Ten times earnings" was long considered the maximum permissible price one could pay for a stock and still reasonably expect to make a profit.

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Then, in the late 1920s, GM-Du Pont's John J. Raskob—